

## **MGT 456: Team Project Update - 3**

**Members of Team 2:** Alankrita Srivastava, Amaya Duncan, Hayden Kwok, Pavan Ulluri, Shalini Harwalkar, Vaibhav Jain

### **1. Problem & Unmet Need**

Our target users are Apple Wallet users who own multiple credit or debit cards, frequently use digital payments, and want to maximize rewards with minimal effort. The Syntruth study focused on this exact audience and included 64 simulated respondents across 11 survey questions.

The main problem is that users often feel unsure about which card to use at checkout. In the Syntruth survey, 67% of respondents said they sometimes feel unsure about which card to use, and 81% said they sometimes think they miss out on rewards by using the wrong card.

Existing solutions are insufficient because Apple Wallet mainly stores cards and enables payments, but it does not actively help users choose the best card. Credit card and banking apps may show reward information, but users still have to compare benefits manually. This creates friction because 80% of respondents said they compare reward benefits before selecting a card.

This problem matters because rewards are the biggest driver of payment choice. In the survey, 89% of respondents said rewards program benefits influence which card they use, followed by familiarity with the card at 52% and ease of use at checkout at 48%.

### **2. Value Proposition**

Apple Wallet+ helps users select the best card at checkout based on rewards, transaction context, and user preferences.

The core benefit is that users can maximize rewards without manually comparing cards every time they pay. Instead of remembering which card is best for dining, groceries, travel, or shopping, Apple Wallet+ recommends the best option directly inside the Apple Pay flow.

The product improves the user experience by making checkout faster, easier, and more financially optimized. It also keeps users in control. This is important because 89% of respondents said they prefer the AI wallet assistant to recommend a card but still let them choose, while 0% preferred fully automatic selection.

Users would choose Apple Wallet+ over alternatives because it combines rewards optimization, privacy, and user control in one place. In the survey, the top adoption drivers were data privacy assurance and the ability to override AI choices easily, both selected by 63% of respondents.

### **3. Key Features**

#### **Smart Card Recommendation**

Apple Wallet+ recommends the best card for each transaction based on the purchase category and available card rewards. For example, if a user is paying at a restaurant, the product recommends the card with the highest dining rewards.

This solves the user's problem by reducing the need to manually compare rewards at checkout.

#### **User Override**

The recommended card is pre-selected, but users can manually change it before completing payment.

This is important because users want assistance, not full automation. The survey showed that most users prefer "recommend but let me choose" rather than fully automatic card selection.

#### **Privacy-First Processing**

Apple Wallet+ will prioritize on-device recommendation logic whenever possible.

This is important because privacy is one of the strongest trust drivers. Data privacy assurance was selected by 63% of respondents as a feature that would make them more likely to use an AI-driven wallet assistant.

#### **Simple Checkout Experience**

The product will be designed to feel lightweight and easy to access within Apple Wallet.

This matters because 48% of respondents said ease of use at checkout influences their card choice, and 48% also selected a simple interface and ease of access as a feature that would increase adoption.

#### **Rewards Insights**

Apple Wallet+ will show basic rewards insights, such as estimated rewards earned and missed reward opportunities.

This helps users see the value of the product over time and supports the survey finding that rewards maximization is the primary driver for card selection.

### **4. Target Users, Use Cases, and Success Metrics**

The primary users are Apple Wallet users with multiple cards who want to make smarter payment decisions without extra effort. These users care about rewards, convenience, privacy, and control.

A typical use case is a user buying dinner with Apple Pay. Apple Wallet+ identifies the transaction as dining and recommends the card with the best dining rewards. The user can accept the recommendation or choose another card before paying.

A day-in-the-life usage scenario would be a user buying coffee in the morning, ordering lunch, shopping online, and booking a rideshare later in the day. For each transaction, Apple Wallet+ recommends the most useful card based on the category and reward benefits.

Success will be measured through:

- Recommendation acceptance rate.
- User satisfaction with recommendation accuracy.
- Reduction in uncertainty about which card to use.
- Estimated rewards gained compared to default card usage.
- User trust in privacy and security.
- Percentage of users who say the override option makes them more comfortable.
- Interest in continued use after prototype testing.

Success would look like users accepting the recommended card often, reporting that the product saves time, and saying they feel more confident about earning rewards without losing control over payment decisions.

## **5. High-Level Roadmap**

### **Phase 1: MVP**

The simplest version we will build is a smart card selection feature inside Apple Wallet. From May 4 to May 18, we will focus on research and discovery, including user interviews, Syntruth survey analysis, behavioral data, and competitive analysis.

From May 18 to June 1, we will build and validate the first prototype. This includes the card selection prototype, privacy-first UX design, and usability testing.

The MVP will recommend the best card at checkout using rule-based logic, merchant category data, and card reward mappings. Users will be able to override the recommendation before paying.

### **Phase 2: Improvements Based on Feedback**

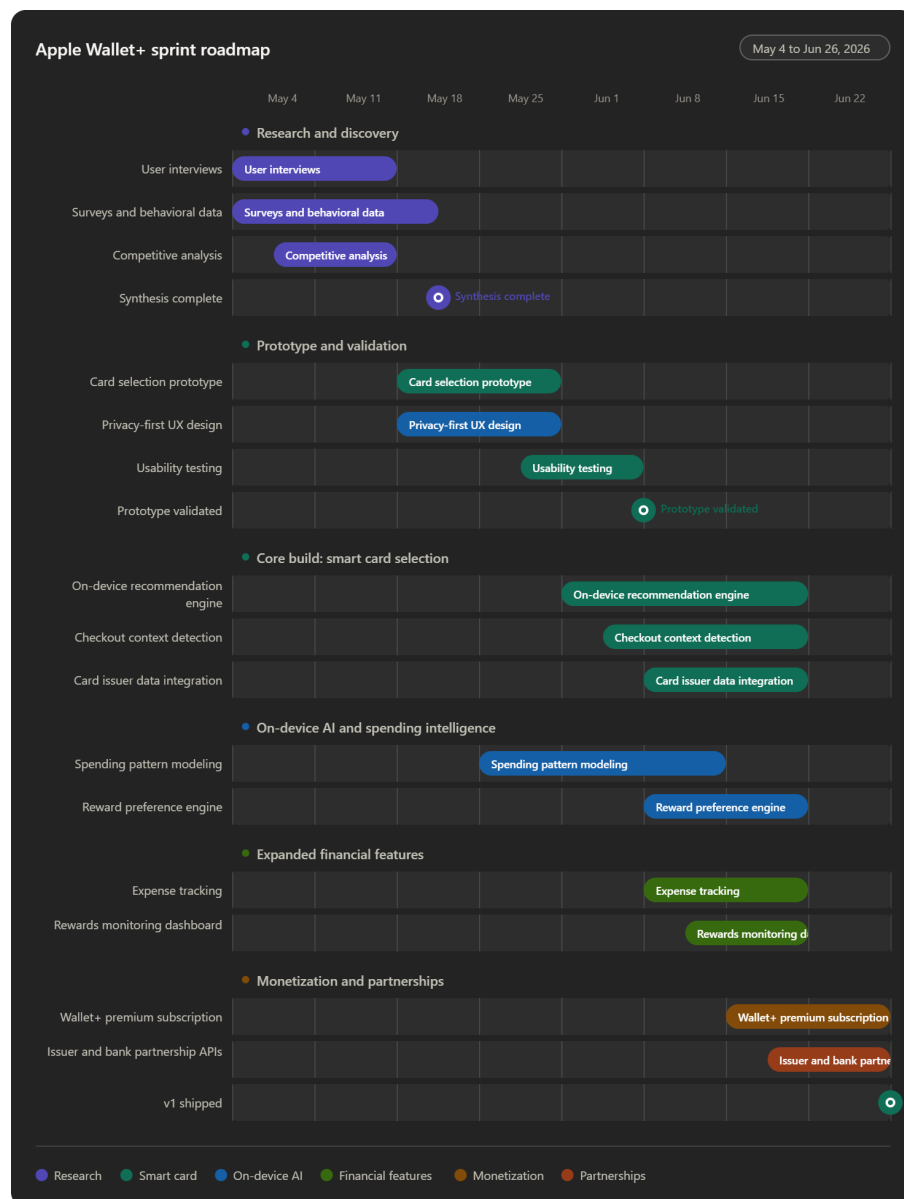
From June 1 to June 15, we will improve the product based on user feedback. This phase will focus on building the core smart card selection system, including the on-device recommendation engine, checkout context detection, and card issuer data integration.

We will also improve the recommendation experience by making it more transparent, easier to understand, and easier to override.

### Phase 3: Advanced Features and Scaling

From June 15 to June 26, we will expand Apple Wallet+ beyond the core MVP. This includes spending pattern modeling, a reward preference engine, expense tracking, and a rewards monitoring dashboard.

Future scaling plans include Wallet+ premium features, issuer and bank partnership APIs, and broader expansion into a financial assistant within the Apple ecosystem. The goal by the end of the sprint is to ship version 1.



SYNTRUTH • AI RESEARCH REPORT

# What drives Apple Wallet users' payment choices, card usage, and trust in AI financial tools, and which features most influence adoption of smart wallet assistants?

A digital wallet assistant that automatically recommends or selects the best payment card at checkout based on rewards, context, and user preferences.

- 64 Respondents
- May 4, 2026
- Survey Study

|                                                                          |                                                            |                                                                          |
|--------------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------------------|
| <div>TOTAL RESPONDENTS</div> <div>64</div> <div>simulated personas</div> | <div>QUESTIONS</div> <div>11</div> <div>survey items</div> | <div>REPORT DATE</div> <div>May 4, 2026</div> <div>generated by AI</div> |
|--------------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------------------|

STUDY OVERVIEW

|                                                                                                                                                                                                              |                                                                                                                                                                                            |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>RESEARCH QUESTION</div> <div>What drives Apple Wallet users' payment choices, card usage, and trust in AI financial tools, and which features most influence adoption of smart wallet assistants?</div> | <div>DECISION GOAL</div> <div>Define key features, trust drivers, value proposition and positioning for an AI-powered smart card selection tool within digital wallets.</div>              |
| <div>TARGET AUDIENCE</div> <div>Apple Wallet users with multiple credit or debit cards who frequently use digital payments and want to maximize rewards with minimal effort.</div>                           | <div>BRAND CONTEXT</div> <div>A digital wallet assistant that automatically recommends or selects the best payment card at checkout based on rewards, context, and user preferences.</div> |

AI RESEARCH ANALYSIS

## Comprehensive Survey Analysis

### 1. Descriptive Statistics

The survey data reveals diverse perspectives of Apple Wallet users regarding their payment choices, card usage, and trust in AI financial tools. The key factors influencing card selection are mainly **rewards program benefits** (89%) and **ease of use at checkout** (48%), while recommendations from friends or AI tools are less influential (31%).

## 2. Question-Level Analysis

- **Q1 Drive Factors: Rewards program benefits** are overwhelmingly the top choice, indicating that users prioritize financial return on their purchases. Other influential factors include **familiarity with the card** (52%), **ease of use at checkout** (48%), and **current promotions or discounts** (42%). Respondents emphasize that while rewards are crucial, the ease of use is not negligible.
- **Q2 Decision Process:** A significant 80% of users reported comparing rewards before making card decisions, suggesting that many actively seek to maximize benefits.
- **Q3 Trust in AI:** Trust in AI is divided, with 59% trusting AI somewhat and only 3% fully trusting its recommendations. This indicates a cautious approach to AI tools among users, highlighting the necessity for reliable, transparent recommendations.
- **Q4 Features for Adoption:** The predominant features that would increase the likelihood of adopting an AI-driven wallet assistant are **data privacy assurance** (62%) and **the ability to override AI choices easily** (62%). Respondents expressed a clear desire for personal control over financial decisions, ensuring comfort with technology integration in managing rewards.

## 3. Cross-Segment Patterns

We observed noteworthy patterns across different demographic segments:

- **Age:** Younger respondents (<30) expressed higher interest in the automatic selection of payment tools, often emphasizing the convenience factor. For instance, **R#24** indicated high interest due to the expected ease of use, suggesting that product marketing could benefit by targeting tech-savvy young adults.
- **Trust in AI:** Older respondents exhibited lower trust in AI recommendations compared to younger users. For instance, **R#19** and **R#22** explicitly stated their skepticism toward AI choices, underscoring the need for enhanced user education and reassurance regarding the reliability of AI tools in securing their financial information.

## 4. Correlation & Driver Analysis

Analysis demonstrates that higher trust in AI correlates with a greater openness to automated decision-making tools. Respondents who trust AI tools more ( **R#12** , **R#24** ) indicate an increased likelihood to utilize wallet assistants that automatically suggest payments based on rewards. Conversely, those skeptical of AI ( **R#19** ) prefer maintaining manual control over card choices.

## 5. Insight Synthesis

### Key Findings:

- **Rewards Maximization:** The primary driver for card selection is maximizing rewards benefits, followed closely by ease of use.
- **AI Skepticism:** While there is moderate trust in AI tools, many respondents express a preference for maintaining control over decisions.
- **Privacy Concerns:** Data privacy is a paramount concern for users considering adopting AI-enhanced solutions.

### Recommendations

1. **Feature Development:** Enhance features that provide personal data privacy assurances and allow users to easily override AI recommendations to foster confidence and trust in the technology.
2. **Marketing Strategies:** Tailor marketing efforts to younger demographics by focusing on the automation of card selection, while also educating older users about the reliability and security of AI tools.
3. **User Experience Focus:** Prioritize simplicity and ease-of-use in product design to appeal to users who prioritize quick and effortless payment processes, as indicated by respondents like **R#40** and **R#55** .

In conclusion, to effectively drive usage of smart wallet assistants, the focus should be on fostering user trust, ensuring privacy, and enhancing reward maximization features, all while maintaining a user-friendly interface. Such strategies will

 RESPONSE DISTRIBUTION

Q1

What factors most influence your choice of payment card during shopping?

- A. Rewards program benefits

89% (57)
- B. Ease of use at the checkout

48% (31)
- C. Familiarity with the card

52% (33)
- D. Current promotions or discounts offered

44% (28)
- E. Recommendations from friends or AI tools

33% (21)

Q2

How do you typically decide which card to use at checkout?

- A. I always use the same card

13% (8)
- B. I base it on the transaction category (e.g., grocery, travel)

8% (5)
- C. I compare reward benefits before selecting a card

80% (51)
- D. I let an AI tool choose for me

0% (0)

Q3

Rate your level of trust in AI tools to recommend the best card for your purchases.

- A. I fully trust AI recommendations.

5% (3)
- B. I trust AI somewhat.

59% (38)
- C. I am neutral.

2% (1)
- D. I do not trust AI recommendations.

27% (17)
- E. I actively avoid AI recommendations.

8% (5)

Q4

What specific feature would make you more likely to use an AI-driven wallet assistant?

- A. Automatic recommendations based on spending habits

8% (5)
- B. Real-time alerts for maximizing rewards

45% (29)
- C. Data privacy assurance

63% (40)
- D. Simple user interface and ease of access

48% (31)
- E. Ability to override AI choices easily

63% (40)

Q5

When using Apple Wallet, how often do you utilize reward tracking features?

- A. Always

0% (0)
- B. Often

36% (23)
- C. Sometimes

47% (30)
- D. Rarely

16% (10)
- E. Never

2% (1)

Q6

On a scale from 1-10, how interested are you in using tools that help select the best payment method automatically?

- A. 1: Not interested

16% (10)
- B. 2-3: Slightly interested

8% (5)
- C. 4-6: Moderately interested

34% (22)
- D. 7-8: Very interested

41% (26)
- E. 9-10: Extremely interested

2% (1)

- Q7

On a scale from 1–10, how interested would you be to have your finances tracked with privacy and security guaranteed?
- A. 1: Not interested

2% (1)
- B. 2–3: Slightly interested

3% (2)
- C. 4–6: Moderately interested

9% (6)
- D. 7–8: Very interested

52% (33)
- E. 9–10: Extremely interested

34% (22)

- Q8

How often do you feel unsure about which card to use at checkout?
- A. Always

0% (0)
- B. Often

14% (9)
- C. Sometimes

67% (43)
- D. Rarely

17% (11)
- E. Never

2% (1)

- Q9

How often do you think you miss out on rewards or benefits by using the wrong card?
- A. Always

2% (1)
- B. Often

3% (2)
- C. Sometimes

81% (52)
- D. Rarely

14% (9)
- E. Never

0% (0)

Q10

How would you prefer an AI wallet assistant to help you choose a card?

- A. Fully automatic selection

0% (0)
- B. Recommend but let me choose

89% (57)
- C. Show options only

2% (1)
- D. I don’t want assistance

9% (6)

Q11

How do you currently track rewards or spending across your cards?

- A. I don’t track

23% (15)
- B. Bank apps

41% (26)
- C. Third party apps

22% (14)
- D. Memory based

14% (9)